

**Supply and demand** The twin driving forces of the *market* economy. Low *supply* and high *demand* tends to raise prices; high *supply* and low *demand* tends to lower prices.

**Surplus** Trade surplus is an excess of *exports* over *imports*. *Government budget* surplus is an excess of *tax revenues* over public spending. The opposite of *deficit*.

**Tariff** A *tax* that a country puts on *imports*.

**Tax** A charge imposed on firms and individuals by *government*. Its payment is enforced by law.